

MERIDIAN & ASSOCIATES LLP

Audit & Assurance Practice

Group Audit Methodology

Multi-Location Audit Approach Under PCAOB AS 1205 / ISA 600

Component Materiality, Direction, and Supervision

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1. Purpose and Applicability

This document establishes the standard methodology for group audits performed by Meridian & Associates LLP. A group audit arises when the group financial statements include the financial information of more than one component -- for example, subsidiaries, divisions, branches, joint ventures, or investees accounted for under the equity method. The methodology applies to all engagements where the group engagement team (GET) uses the work of component auditors, whether those component auditors are other Meridian offices, Meridian network member firms, or non-network audit firms.

The framework is designed to comply with PCAOB AS 1205 (Part of the Audit Performed by Other Independent Auditors), PCAOB AS 2101 (Audit Planning), ISA 600 (Special Considerations -- Audits of Group Financial Statements), and the firm's internal quality standards. Where PCAOB and ISA requirements differ, Meridian's policy requires compliance with the more stringent standard unless the engagement is exclusively subject to one regime.

2. Group Engagement Team Responsibilities

2.1 Acceptance and Continuance

Before accepting or continuing a group audit engagement, the group engagement partner must evaluate the following factors in consultation with the Regional Assurance Leader:

- The group structure, including the number, size, and geographic dispersion of components.
- The availability and competence of component auditors, including an assessment of their understanding of applicable financial reporting frameworks and auditing standards.
- Whether sufficient appropriate audit evidence can reasonably be expected to be obtained for the group audit opinion.
- The ability to be sufficiently involved in the work of component auditors, including the ability to perform direction, supervision, and review activities (including site visits where necessary).
- Restrictions on access to component management, component auditors, or component information (e.g., due to local regulations or government classification).

2.2 Understanding the Group and Its Components

The GET must obtain a sufficient understanding of the group, its components, and their environments to identify and assess risks of material misstatement of the group financial statements. This understanding encompasses the group's organizational structure, reporting processes, intercompany transactions and eliminations, and the nature and extent of consolidation adjustments. The GET must identify components that are individually financially significant to the group and components that are likely to include significant risks of material misstatement.

2.3 Scoping and Component Classification

Each component is classified into one of three categories that determine the nature and extent of work to be performed:

- Significant Components -- Full Scope: Components that are individually financially significant to the group (typically contributing more than 15% of group revenues, assets, or pre-tax income). A full-scope audit is performed using component materiality.
- Significant Components -- Specified Procedures: Components that include significant risks of material misstatement of the group financial statements due to their specific nature or circumstances. Audit procedures are performed on specified account balances, classes of transactions, or disclosures.
- Non-Significant Components -- Analytical Procedures: Remaining components where analytical procedures at the group level are sufficient to address the risks of material misstatement. Selected non-significant components are rotated into specified or full-scope procedures on a cyclical basis to provide additional audit coverage.

The scoping decision must achieve coverage of a sufficient portion of the group financial statements. Meridian's policy requires that significant components receiving full-scope or specified-scope procedures collectively represent at least 60% of consolidated revenues and 60% of consolidated total assets. Coverage exceeding 75% on both metrics is considered best practice.

3. Component Materiality

Component materiality is set by the GET for each component where audit work will be performed. Component materiality must be lower than group materiality to reduce the risk that the aggregate of uncorrected and undetected misstatements across components exceeds group materiality.

Meridian's standard approach for determining component materiality is as follows:

- Allocation Method: Component materiality is derived by allocating a portion of group materiality to each in-scope component based on relative size (typically using the same benchmark as group materiality -- e.g., pre-tax income, revenue, or total assets).
- Cap: Component materiality may not exceed 85% of group materiality for any single component, regardless of the component's relative size.
- Floor: Component materiality may not be set below the level at which misstatements would be clearly trivial. As a practical minimum, component materiality is typically no lower than 50% of group performance materiality.
- Professional Judgment: The GET exercises professional judgment in adjusting component materiality for qualitative risk factors, such as the component's history of audit adjustments, the quality of the component's internal controls, or the complexity of its transactions.

Component performance materiality and the threshold for accumulating misstatements (SAT -- Summary of Audit Differences) are similarly derived from group-level thresholds, applying the same percentage reduction used to determine component materiality from group materiality.

4. Direction, Supervision, and Review

4.1 Group Audit Instructions

The GET issues formal Group Audit Instructions (GAIs) to each component auditor. The GAIs are tailored to the component's scoping classification and include:

- Component materiality, performance materiality, and de minimis threshold.
- Significant risks identified at the group level and their implications for the component.
- Required audit procedures for specified accounts, balances, and disclosures.
- Intercompany transaction confirmation and elimination procedures.
- Required deliverables and reporting formats (including the use of the firm's standard Component Auditor Reporting Package).
- Deadlines for completion of fieldwork, clearance of review notes, and submission of the reporting package.
- Requirements for communication of matters arising during the component audit, including fraud, non-compliance with laws and regulations, significant deficiencies, and material weaknesses.
- Independence and ethical requirements applicable to the engagement.

4.2 Supervision and Monitoring

The GET maintains ongoing involvement in the component auditor's work throughout the engagement. Supervision activities include:

- Pre-issuance planning calls with each component auditor to discuss the engagement approach, timing, and risk areas.
- Interim status check-ins (at minimum biweekly during active fieldwork) to monitor progress, address emerging issues, and adjust procedures as needed.
- Site visits to significant component locations. Meridian requires at least one in-person site visit per triennial cycle for each full-scope significant component, with annual visits for components identified as high-risk.
- Review of key working papers prepared by the component auditor, focusing on areas of significant judgment, estimates, and identified risks.

4.3 Review of Component Auditor Work

The GET reviews the component auditor's reporting package, evaluates the sufficiency and appropriateness of audit evidence

obtained, and assesses whether additional procedures are required at the group level. The review includes:

- Evaluation of the component auditor's summary of unadjusted misstatements and their effect on the group financial statements.
- Assessment of significant accounting judgments and estimates at the component level.
- Review of the component auditor's communications regarding fraud risks, going concern issues, and significant internal control deficiencies.
- Evaluation of the adequacy of the component auditor's response to risks identified in the Group Audit Instructions.

5. Evaluating Component Auditor Competence

Before placing reliance on the work of a component auditor, the GET must evaluate the component auditor's professional competence and independence. For Meridian network firms, this evaluation leverages the firm's global quality monitoring program. For non-network component auditors, the evaluation is more extensive and includes:

- Verification of registration with the PCAOB (for audits of SEC registrants) or the relevant national audit oversight body.
- Review of the component auditor's most recent PCAOB or equivalent inspection report, including any identified deficiencies and remediation actions.
- Assessment of the component auditor's experience with the relevant industry, accounting standards, and applicable regulatory requirements.
- Evaluation of the component auditor's quality control system, including peer review results, professional liability insurance coverage, and independence monitoring procedures.
- For first-time component auditors, a mandatory pre-engagement site visit or virtual assessment by a member of the GET.

6. Communication Requirements

6.1 Communications with Component Auditors

Effective two-way communication between the GET and component auditors is essential to the quality of the group audit. The GET establishes a communication protocol at the outset of the engagement that defines:

- Primary and escalation contacts on both the GET and component auditor sides.
- Required communications: matters that must be communicated promptly regardless of timing (e.g., suspected fraud, going concern doubt, material weaknesses, non-compliance with laws or regulations).
- Periodic communications: regular updates on fieldwork status, emerging issues, and timing adjustments.
- Secure communication channels for the transmission of confidential client information and audit documentation.

6.2 Communications with Group and Component Management

The group engagement partner communicates with group management on matters affecting the group audit opinion, including aggregate misstatements, significant accounting policy inconsistencies across components, and consolidation adjustments. Component auditors communicate with component management on matters specific to the component audit, with copies to the GET for significant items.

6.3 Communications with Those Charged with Governance

The group engagement partner communicates with the group audit committee on the following matters specific to the group audit:

- An overview of the group audit approach, including the type of work to be performed on significant components.
- The identity of component auditors and any concerns about their competence or independence.
- Limitations on the GET's access to component information or component auditors.
- Instances of fraud, non-compliance, or significant internal control deficiencies identified at the component level.
- The group engagement partner's evaluation of the aggregate effect of unadjusted misstatements identified across components.

7. Consolidation Procedures

The GET performs audit procedures on the consolidation process, including:

- Evaluating whether the consolidation accounting policies are in accordance with the applicable financial reporting framework (ASC 810 / IFRS 10) and have been applied consistently.
- Testing the mathematical accuracy of the consolidation schedule and agreeing individual component trial balances to component auditor reporting packages.
- Evaluating the completeness, accuracy, and authorization of intercompany transactions and confirming that all intercompany balances, transactions, profits, and losses have been appropriately eliminated.
- Assessing the appropriateness of consolidation adjustments, including those related to business combinations (ASC 805), equity method investments (ASC 323), foreign currency translation (ASC 830), and non-controlling interests.
- Evaluating whether the group financial statements include all required disclosures related to the consolidation, including information about non-controlling interests, restrictions on net assets, and variable interest entities.

8. Documentation Standards

The group audit engagement file must include the following documentation, in addition to the standard engagement file contents required by PCAOB AS 1215:

- The component scoping analysis and rationale for the classification of each component.
- Component materiality calculations and the basis for any adjustments to the allocation model.
- Group Audit Instructions issued to each component auditor.
- The evaluation of each component auditor's competence and independence.
- A record of the GET's supervision and review activities, including summaries of site visits, planning calls, and review meetings.
- Component auditor reporting packages and the GET's evaluation of each package.
- The consolidation audit program and results of consolidation procedures.
- A summary of all component-level misstatements and their aggregate effect on the group financial statements.